KAROTS KORP · KAROTS DEV

Legal review

Karots Suite agreement · 12 points for a Sri Lankan attorney-at-law

Karots sells Karots Suite, a till and shop-management program, to small Sri Lankan shops for a one-time price. Each shop signs a Licence and Service Agreement in the usual Sri Lankan form (parties, recitals, terms, attestation with two witnesses, then Schedules, the First being the Order Details), which brings in the Shop Rules & Service Guide. We wrote them ourselves from the statutes listed below. Please check each point, write your opinion and any change, and tick a decision.

Documents reviewed

Document	Version	Pages
Licence and Service Agreement (karots-suite-agreement.pdf)	2026-10-28	8
Shop Rules & Service Guide (karots-suite-shop-rules.pdf)	1.2 · 2026-10-28	6
Notice to pay the balance (karots-suite-balance-notice.pdf)	2026-10-28	1

Statutes we relied on: Intellectual Property Act No. 36 of 2003 (s.9, s.12(7), s.178); Unfair Contract Terms Act No. 26 of 1997 (ss.3, 4, 10, 11, 13); Electronic Transactions Act No. 19 of 2006 as amended by No. 25 of 2017; Personal Data Protection Act No. 9 of 2022 as amended by No. 22 of 2025; Arbitration Act No. 11 of 1995; Computer Crimes Act No. 24 of 2007; Business Names Ordinance and the Provincial Council Business Names Statutes.

Review by

Attorney-at-law _____ Reg. no. _____

Firm / address _____ Date of review _____

Point 1 · Limit of liability

Terms 10.3

What it says now: Karots' total liability in any 12 months is capped at the greater of the fees paid in the previous 12 months and the amount written in the Order Details (we suggest the licence price). Death and personal injury from negligence, and fraud, are never limited (10.1).

Why: UCTA s.3(2) and s.4 require reasonableness for written standard terms; s.10(4) looks at resources and insurance for a fixed-sum cap, and s.10(5) puts the burden on us.

Question: Is this cap reasonable for a small vendor? Would insurance be expected, and what figure would then be reasonable?

Lawyer's opinion

Suggested change / new wording

Decision

☐ Keep as it is ☐ Change as suggested ☐ Remove ☐ Needs more advice Initials _____

Point 2 · Are IP licences outside UCTA?

UCTA First Schedule

What it says now: The terms are written as if UCTA ss.3 to 5 apply in full.

Why: The UK Act excludes contracts about the creation or transfer of intellectual property. We could not read Sri Lanka's First Schedule.

Question: Does the Sri Lankan First Schedule exclude software licences, wholly or partly? Does it change anything in the Terms?

Lawyer's opinion

Suggested change / new wording

Decision

☐ Keep as it is ☐ Change as suggested ☐ Remove ☐ Needs more advice Initials _____

Point 3 · The right contracting party

Agreement opening (parties) · Terms heading

What it says now: Karots is described as its owner (name, NIC, address) carrying on business as sole proprietor under the name and style of Karots Korp (Karots Dev), registered under the Business Names Statute of the relevant Provincial Council (registration applied for; number to be filled in). The Shop is described as an individual / sole proprietor or as a company / partnership.

Why: Under the Business Names Ordinance a business trading under an unregistered name can't enforce its contracts without the court's leave. The owner is registering Karots Korp as a sole proprietorship now.

Question: Is the party wording right for a sole proprietor? Can agreements be signed while registration is pending? Should shops' business-name registration be checked before signing?

Lawyer's opinion

Suggested change / new wording

Decision

☐ Keep as it is ☐ Change as suggested ☐ Remove ☐ Needs more advice Initials _____

Point 4 · Stamp duty and signing formalities

Order Details, acceptance and witnesses

What it says now: Signed and stamped by both sides, two witnesses with NIC numbers, each page initialled; electronic acceptance also allowed (Terms 2.1).

Why: We don't know whether stamp duty or any other formality applies to this kind of agreement.

Question: Is stamp duty due? Are two witnesses needed or useful? Is the electronic acceptance enough on its own?

Lawyer's opinion

Suggested change / new wording

Decision

☐ Keep as it is ☐ Change as suggested ☐ Remove ☐ Needs more advice Initials _____

Point 5 · Disputes: arbitration or courts

Terms 12.2

What it says now: Talk for 30 days, then arbitration in Colombo by one arbitrator under the Arbitration Act No. 11 of 1995; urgent court relief still allowed.

Why: Most disputes will be small (a refund, a balance of tens of thousands of rupees). Arbitration may cost more than the claim.

Question: Arbitration, the Magistrate's / District Court, or a Mediation Board first? Which venue?

Lawyer's opinion

Suggested change / new wording

Decision

☐ Keep as it is ☐ Change as suggested ☐ Remove ☐ Needs more advice Initials _____

Point 6 · Personal Data Protection Act

Terms 6 and the Third Schedule

What it says now: The shop is the controller; Karots is a processor for support and cloud backup; the Third Schedule gives processor-style terms. Pharmacy shops keep health data.

Why: PDPA Parts I to III and VII were not in force as of mid-2026; the 2025 amendment left the dates to Gazette order.

Question: Has a commencement order been made? Is the Third Schedule enough? Does Karots need a Data Protection Officer or registration?

Lawyer's opinion

Suggested change / new wording

Decision

☐ Keep as it is ☐ Change as suggested ☐ Remove ☐ Needs more advice Initials _____

Point 7 · Cloud backups stored abroad

Third Schedule, item 3 · Shop Rules 5

What it says now: Encrypted backups (key per shop) may be stored with a foreign cloud provider (Cloudflare R2); the shop agrees to this.

Why: PDPA s.26 (as amended) restricts cross-border transfers once in force.

Question: Is the shop's agreement enough, or are other conditions or wording needed?

Lawyer's opinion

Suggested change / new wording

Decision

☐ Keep as it is ☐ Change as suggested ☐ Remove ☐ Needs more advice Initials _____

Point 8 · The Demo Room

Not covered today

What it says now: A separate demo program given to prospects. It is locked by an hourly code and carries a watermark with Karots' contact details. No written terms.

Why: It is a full copy of the software in a stranger's hands.

Question: Should it carry a short evaluation licence, shown on its lock page?

Lawyer's opinion

Suggested change / new wording

Decision

☐ Keep as it is ☐ Change as suggested ☐ Remove ☐ Needs more advice Initials _____

Point 9 · Resellers

Not covered today

What it says now: Nothing yet. Resellers may later sell, install and support Karots Suite for commission.

Why: A reseller is a different party with different rights; one is not needed until the first reseller signs.

Question: When needed, draft a Reseller Agreement. What must it cover (territory, commission, support duties, brand use)?

Lawyer's opinion

Suggested change / new wording

Decision

☐ Keep as it is ☐ Change as suggested ☐ Remove ☐ Needs more advice Initials _____

Point 10 · Refund scale

Shop Rules 7

What it says now: Before installation: full refund less costs spent. Days 1 to 7: licence refunded, installation fee kept. Then Karots keeps 25 / 50 / 75 % of the licence by week, and everything after day 30. Part payments settle to the same 'Karots keeps' figure (the shop may owe the difference).

Why: Shops sometimes try the software and change their mind; we need a fair, simple rule that works with advances. Shops tick and initial this rule in the Order Details.

Question: Is this reasonable under UCTA ss.4 and 10? Is it enforceable when the shop has paid only an advance?

Lawyer's opinion

Suggested change / new wording

Decision

☐ Keep as it is ☐ Change as suggested ☐ Remove ☐ Needs more advice Initials _____

Point 11 · No free updates after year 1; cloud backup freeze

Shop Rules 1 and 5 · Terms 9 and the Second Schedule

What it says now: Updates, bug fixes and remote help are free for a year, then paid (renewal 20% a year). Cloud backup is frozen when payment is 7 days late. The till always keeps working.

Why: Terms 9 promises the software works as described; after year 1 a bug fix becomes paid work.

Question: Does this sit with clause 9 and UCTA? Should a bug found after year 1 in the version the shop has still be fixed free?

Lawyer's opinion

Suggested change / new wording

Decision

☐ Keep as it is ☐ Change as suggested ☐ Remove ☐ Needs more advice Initials _____

Point 12 · Ending the licence for an unpaid balance

Terms 7.3 and 11.2 · Shop Rules 8 · balance notice

What it says now: Balance due within 90 days of installation; then a written 14-day notice; then the licence ends and Karots removes the software at the site, or remotely only with the shop's permission, after giving a full data backup. Payments made are not refunded.

Why: Removing software remotely without permission could be an offence under the Computer Crimes Act No. 24 of 2007, so the software has no remote kill switch and the rules never allow it.

Question: Is this enforceable? What if the shop refuses access? Is the notice letter adequate (content, delivery by registered post / hand / WhatsApp)?

Lawyer's opinion

Suggested change / new wording

Decision

☐ Keep as it is ☐ Change as suggested ☐ Remove ☐ Needs more advice Initials _____

Anything else

Other points the lawyer raises: clauses to add, remove or reword.

Sign-off

☐ The documents can be used as they are ☐ They can be used once the changes above are made

☐ They need redrafting before use

Attorney-at-law

Signature

Name

Date

Seal / stamp

For Karots

Signature

Name

Date